

| By Sandeep Unnithan |

It's the world's largest government production department—a conglomerate of 40 defence factories which kits the Indian armed forces with everything from boots, rifles and ammunition to military trucks. The bribery scandal which has now hit the 200-year-old Ordnance Factory Board (OFB) has exposed the gangrene in an organisation long called the fourth arm of Indian defence. Days after the CBI uncovered cash, jewellery and bank deposits worth over Rs 6 crore with Sudipta Ghosh, who retired as the OFB's director-general on April 30, the Ministry of Defence (MOD) cracked down on seven defence suppliers. These included two large global firms, Singapore Technologies and Israel Military Industries (IMI), alleged to have paid bribes to Ghosh.

Other firms on the blacklist are B.V.T. of Poland, Media Architects Pvt Ltd of Singapore and three Indian private sector firms, H.Y.T. Engineering, R.K. Machine Tools and T.S. Kishan and Company. The MOD has been barred from doing business with these firms, a move the army says will impede its modernisation drive (see box). "Till the CBI is able to complete investigations, there will be a delay and it will affect the procurement of ultra-light howitzers," Army chief General Deepak Kapoor said.

Ghosh is the senior-most defence official to be nailed on graft charges in recent years. Officials of the organisation headquartered in Kolkata are still shocked. "It's like someone tattooed '*mera baap chor hai*' (my father is a thief) on our hands," says a senior official. The CBI calls it "one of the biggest corruption scandals in recent times". The scam proves that both corruption and middlemen are still endemic to defence deals despite government pronouncements of harsh penalties and an explicit ban on middlemen. "This case is one more instance of defence corruption moving downward from the political level to the officer level," says the CEO of a private sector defence firm. Still more shocking is the fact that the OFB has

been headless for two months since Ghosh's retirement. This is because the Department of Defence Production, under which the OFB functions, is yet to decide his successor.

OFB officials say they are still unsure just how Ghosh, a 1970 batch Indian Ordnance Factory Services officer who retired after a two-year tenure, managed to hoodwink the system. The OFB is headed by the director-general who is also the chairman of the board. The board is under the administrative control of the Department of Defence Production in

Delhi which is under the Defence Ministry. The director-general has more powers than any other government department head with the exception of the chairman of the railway board. He has various annual discretionary funds like Rs 25 crore for buying new machinery without seeking the government's approval. The director-general also functions in a system which has several checks and balances like proposals being initiated only by the factories and a three-tier technical price committee each with a finance member and



GHOSH AFTER HIS ARREST

## Factories of GRAFT

The OFB scandal proves that corruption still thrives in defence deals and highlights the Government's inability to usher reform in defence production